# Chalmers asks Treasury for a productivity plan before the mid-year update

> The Treasurer has reportedly asked Treasury's structural reform officials to develop new productivity policies for December's Mid-Year Economic and Fiscal Outlook.

## WHAT HAPPENED

- As reported by The Australian, Jim Chalmers asked Treasury's **structural reform branch** for new productivity measures.
- The policies are intended for **MYEFO** in December 2026.
- **No policy details** or costings have been released yet.
- Australia's productivity growth over the past decade has been among the **weakest in the OECD**.
- Weak productivity limits how fast the economy can grow without adding to **inflation** – a live issue with the cash rate at 4.85%.

**Dec 2026**
MYEFO – mid-year budget update

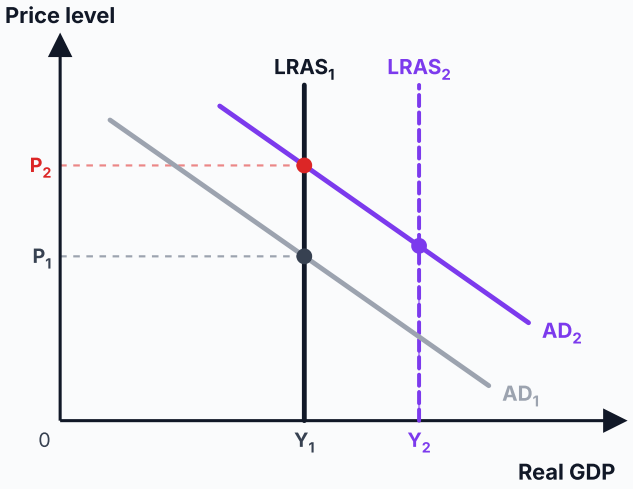
**OECD**
Productivity growth among the weakest of the past decade

**4.85%**
Cash rate – inflation still too high

**Reform branch**
Treasury unit asked to develop the measures

**Productivity:** output per unit of input, e.g. output per hour worked.
**Microeconomic reform:** policies that improve how efficiently individual markets and industries work.

## DIAGRAM — Why productivity matters for inflation and growth




When demand grows (**$AD_1$ to $AD_2$**) but capacity is fixed at **$LRAS_1$**, the result is only a higher price level (**$P_1$ to $P_2$**).

Productivity-raising reform shifts capacity out to **$LRAS_2$**, so real GDP can grow from **$Y_1$ to $Y_2$** with less pressure on prices.

**Exam angle:** Supply-side (structural) policy complements monetary policy: the RBA can only manage **demand**, while lifting productivity raises the economy's **speed limit**. But reform takes years to pay off.

## FLOW CHART — How reform could ease the inflation problem

Microeconomic reform (MYEFO) → Higher productivity → LRAS shifts right → **Faster growth with lower inflation**

### SYLLABUS LINK

Topic 4 – Microeconomic and structural reform; productivity; the interaction of supply-side policy with monetary and fiscal policy. Links to Topic 3 – economic growth.

### TRY THIS

Explain how microeconomic reform can lift productivity and reduce inflationary pressure in the Australian economy.
**(4 MARKS)**

Sources — MacroBusiness, 'Jim Chalmers pretends to care about productivity growth' (opinion piece citing The Australian): macrobusiness.com.au/2026/11/jim-chalmers-pretends-to-care-about-productivity-growth/